

Customer Churn and Retention Analysis

Overview

Out of 7,043 customers, 1,869 have churned and 5,174 have stayed. That is a churn rate of 26.5 percent, roughly one in every four customers. The average monthly charge across all customers is \$64.76, and the total revenue already lost to churn adds up to about \$139,131 every month.

Key Findings

- About 1 in 4 customers has churned, which is a high rate for this kind of business.
- Customers on month to month contracts churn far more than customers on one year or two year contracts. This link was confirmed with a chi square test, so it is not just a coincidence.
- Customers who have been with the company for 12 months or less churn the most. The longer someone stays, the less likely they are to leave.
- Customers who churned were paying more per month on average than customers who stayed. This difference was confirmed with a t test, so it is a real pattern, not random noise.
- Customers who pay by electronic check churn much more than customers on automatic payments. Customers without tech support also churn more than those who have it.

Customer Segments

Customers were grouped into four types based on how long they have stayed and how much they pay.

- New customers, meaning 12 months or less with the company, churn the most by percentage.
- High Risk customers have been around longer but pay above average and are still on a month to month plan. They churn almost as often as new customers, and since they pay more, losing one of them costs the business more money.
- High Value customers pay well and rarely churn.
- Loyal customers pay less on average and also rarely churn.

New customers need a better first year experience. High Risk customers need a retention offer before they cancel, since they are worth the most money.

Recommendations

- Offer a discount or perk to move month to month customers onto a one or two year contract.
- Build a first 90 day program for new customers, since the first year is when people are most likely to leave.
- Look at pricing for high paying customers, since higher bills are linked to higher churn.
- Offer an incentive for customers to move off electronic check and onto automatic payments.
- Offer tech support as an add on for customers who do not already have it, since it is linked to lower churn.